

Watershed

Carbon Management / Sustainability Software · San Francisco, CA · Private (\$1.8B; Series C 2024; carbon-management software)

Watershed, the \$1.8B carbon-management software leader (Airbnb, FedEx, Walmart), has never been in motorsport - and Formula E, the first net-zero-certified series with Scope 1/2/3 reporting and CSRD pressure on teams, is the category it was built for.

70

OPPORTUNITY / 100

TIMING WINDOW

WARM

SERIES

FE

RECOMMENDED TEAM

Mahindra Racing

ACTION HORIZON

8-12 WKS

THE CASE

Watershed is the leading enterprise carbon-management platform - measuring, reporting and reducing emissions for customers like Airbnb, FedEx, General Mills and Walmart, tracking a gigaton of emissions - valued at \$1.8B after a \$100M Series C led by Greenoaks (with Sequoia and Kleiner Perkins; \$185M raised), and named a category leader by Verdantix in 2026. Founded in 2019 by ex-Stripe/Lyft/Google operators (co-founder Taylor Francis is the external-facing leader), it has never touched motorsport. The fit is unusually literal: Formula E is the first motorsport certified to a net-zero pathway, runs verified Scope 1/2/3 carbon accounting, and its teams face tightening FIA requirements and EU CSRD reporting - so carbon management is a real team workstream, not a halo. One honest caveat: because sustainability IS Formula E's identity, the category is contested - Envision's net-zero claims run on its own technology plus Earthly, and Nissan has Coral (ESG-AI) - so the clean opening is team-level at Mahindra Racing (an EV-sustainability conglomerate whose carbon-software lane is open: Umicore covers battery materials, Renesas chips, Tech Mahindra broad IT).

WHY NOW

Tightening FIA net-zero requirements and EU CSRD reporting are forcing teams to put auditable numbers behind their sustainability claims, which is exactly Watershed's product - so the team-workstream value is live now. Watershed is scaling post-Series C and investing in brand, and inbound motorsport interest is low (~30), so the value of moving now is positional: claim the carbon-software lane on a sustainability-credible team before the category - already filling across the grid - closes.

PROOF POINTS — EVERY FIGURE VERIFIED TO A PRIMARY SOURCE (SEE P.2)

\$1.8B

Valuation (Series C, 2024; \$100M round led by Greenoaks, with Sequoia and Kleiner Perkins)

\$185M

Total funding raised

Airbnb, FedEx, Walmart

Enterprise customers (tracking ~1 gigaton of emissions)

Taylor Francis

Co-Founder & external-facing leader (ex-Stripe)

San Francisco, CA

Headquarters

GRID FIT — CATEGORY-WHITESPACE CHECK ACROSS THE FE GRID (1440 TEAM-FIT ENGINE)

Mahindra Racing	PRIME LANE	greenfield entry — partner roster being built from zero
Porsche	CROWDED	industrial software / digital twin
Jaguar TCS Racing	OPEN	no rival in this category lane
Nissan	OPEN	no rival in this category lane

BOTTOM LINE

The carbon-management software leader (\$1.8B; Greenoaks-led Series C; customers Airbnb, FedEx, Walmart) in the category that defines Formula E - the first net-zero-certified motorsport, with Scope 1/2/3 reporting and CSRD pressure on teams. A genuine measure-and-report workstream, not a halo. Carbon is FE's most contested lane (Envision and Nissan already have partners), but it is open at Mahindra. Founder-led by Taylor Francis.

NEVER ENTERED

FUNDING EVENT

CATEGORY WHITESPACE

DISCOVERY: SELF

1440 SPORTS · LONDON

WATERSHED · 16 JUN 2026

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WHY MAHINDRA RACING

Mahindra Racing is a founding FE team backed by an Indian EV-and-renewables conglomerate with real net-zero commitments, so a verified-carbon partner is on-brand - and its carbon-software lane is open (Umicore covers battery materials, Renesas chips, Tech Mahindra general IT), unlike Envision (own net-zero tech + Earthly) or Nissan (Coral). It lets Watershed own a distinct 'verified net-zero' position and gives Mahindra hard data behind its sustainability story.

VALUE TO MAHINDRA RACING — MODE A (TECH IN THE CAR / CHAMPIONSHIP)

MODE A with concrete, named mechanics. (1) CARBON WORKSTREAM (real and deployable): Watershed measures, reports and helps cut Mahindra's full Scope 1/2/3 footprint - freight and intercontinental travel, factory and race-operations energy, car production and supply chain - turning the team's sustainability claims into auditable, FIA- and CSRD-grade numbers, identifying reduction levers (logistics routing, energy sourcing, supplier engagement) and producing the verified disclosures regulators and sponsors increasingly demand. That is substance a sustainability-led team can actually use, not a green logo. (2) COMMERCIAL / B2B: Watershed sells to the chief-sustainability-officers and CFOs of global enterprises (Airbnb, FedEx, Walmart), and the Formula E paddock and its corporate-sustainability programmes are dense with exactly those buyers - so team hospitality becomes a working enterprise pipeline, while Mahindra gains a category-leading credibility partner. (3) BRAND / CONTENT / TALENT: 'don't just claim it, prove it' - a co-developed verified-net-zero content story (the hardest, most credible sustainability narrative in a sport built on it) plus a recruiting halo for the climate/data talent both sides want. Mahindra gets audited carbon leadership and a real data workstream; Watershed gets an on-message global stage and a flagship live deployment.

DEAL ARCHITECTURE

Value-tier Official Carbon-Management / Net-Zero Partner on Mahindra Racing, minimum three years, ~\$1.5-2.5M/yr, with category exclusivity in carbon/ESG software and a defined Scope 1/2/3 measurement-and-reduction workstream plus verified-disclosure content.

PRIMARY DECISION-MAKER

Taylor Francis
CO-FOUNDER, WATERSHED - VERIFIED (EXTERNAL-FACING LEADER; EX-STRIPE)

Co-founder and the public, external-facing leader of Watershed (frequent spokesperson on corporate climate action) - the right entry point for a brand-partnership conversation at this founder-led company. Co-decision-makers: fellow co-founders Christian Anderson and Avi Itskovich, who lead the company alongside him.

OPENING ANGLE

"Taylor - Formula E is the first net-zero-certified sport and its teams now face FIA and CSRD reporting they can't fake. Watershed is the product for that, and Mahindra's carbon lane is open. A real Scope 1/2/3 workstream and a 'prove it' story - not a logo. 25 minutes?"

SCORE COMPOSITION

TIMING 14 / 20 Raised a \$100M Series C at \$1.8B (2024, led by Greenoaks) and is riding a CSRD/regulatory tailwind in corporate climate action - growing, though the last round is not a this-week event.	CAPACITY 14 / 20 \$1.8B valuation, \$185M raised - a mid-cap that funds a value-tier partnership, not a marquee spend.	BRAND FIT 15 / 20 Carbon management is the category that defines Formula E's identity - but it is contested grid-wide (Envision's net-zero tech + Earthly; Nissan's Coral), so the opening is team-level at Mahindra, not pristine whitespace.	URGENCY 12 / 20 FIA net-zero requirements and EU CSRD are tightening, which drives corporate climate spend, but there is no dated FE-specific trigger.	OPS FIT 15 / 20 MODE A: measuring, reporting and cutting a team's Scope 1/2/3 footprint (freight, travel, energy, car production) for its FIA/CSRD net-zero claims is a real, deployable workstream.
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RISKS & COUNTERS

CARBON IS FE'S MOST CONTESTED CATEGORY Sustainability is the series' identity, so several teams already have carbon/sustainability partners (Envision, Nissan). **Counter:** Claim a team-level position at Mahindra, where the carbon-software lane is genuinely open - not grid-wide exclusivity; lead with the verified-data workstream as the wedge.

MID-CAP, VALUE-TIER CAPACITY At \$1.8B, Watershed funds a value-tier deal, not a marquee spend. **Counter:** Right-size to a value tier tied to a real measurement-and-reduction workstream and measurable enterprise pipeline - marketing with a return.

UNPROVEN SPONSORSHIP APPETITE An enterprise-SaaS company has never done a motorsport deal. **Counter:** Anchor on the literal product-to-need fit (FIA/CSRD reporting) and a low-commitment, measurable structure; let the workstream, not a hard sell, carry it.

SOURCES

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